Why This Short Seller Doesn’t Want to Short the AI Bubble | Russell Clark

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis: The US economy is entering a structural phase of fiscal expansion and wage-driven systemic inflation, making traditional short-term cyclical recession models unreliable. While political polarization will likely lead to continued spending increases regardless of the administration (Trump or Democrats), capital scarcity—driven by AI infrastructure demands crowding out Treasury markets and debt issuance—is creating a new environment where cost of capital is rising. Consequently, investors should avoid betting on an immediate market correction in AI equities due to insatiable demand and existential competitive threats from companies like Microsoft, Google, and OpenAI, while positioning themselves toward tangible assets, real yield environments, and specific opportunities in Japan that reflect political stability and emerging growth dynamics.

2. Key Arguments & Data:

3. **Economic Outlook:** The Blue Wave election result is interpreted as a rejection of Trump's second administration rather than an endorsement of Democratic policy; however, markets must price in pro-labor policies leading to fiscal deficit expansion rather than consolidation.
4. **Inflation Mechanics:** Inflation has transitioned from cyclical to systemic and is primarily driven by rising wages, not supply shocks like oil (which Russell views as a "dead asset" due to peaking consumption demand). The Fed remains in a hiking cycle despite pause signals because wage pressures are structural.
5. **AI Investment Thesis:** AI capital expenditure represents a strategic necessity for existential competition against China and OpenAI/Google; it is not driven by corporate fraud but by the need for compute capacity (exponential growth vs linear ability increase). The market supply of cash (Treasury market) is being squeezed out by equity issuance from hyperscalers.
6. **Market Structure:** There is a significant "pain spot" for bond yields, moving away from the historical "sweet spot" due to high inflation expectations and fiscal deficit constraints. US equity markets remain

strong despite high capex, but private credit and private equity face capital scarcity issues (1% market cap issuance leads to ~4% underperformance).

7. **Sector Specifics:**
    - **Tech/AI:** Not a viable short trade due to lack of "smoking gun" for demand collapse. Apple's buybacks succeed because it creates shareholder value but hasn't developed new technology (contrasting with competitors like OpenAI).
    - **Real Assets/Japan:** Japan offers an attractive growth environment due to political drivers and the absence of US-style competition fears in semiconductors (DRAM, NAND Flash capacity is rising, prices increasing). Japanese banks remain cheap deposit sources.
    - **US Housing/Homes:** Homebuilder margins are under pressure due to labor/interest rate costs; home grants or price supports may be counteractive to the bond market.
    - **Oil/Energy:** Short-term oil prices move markets but lack long-term demand fundamentals in China and the US (road consumption topping out).

8. Actionable Takeaways:

9. **Portfolio Construction:** Do not bet your entire portfolio on a single asset class; use risk mitigation by finding non-correlated exposure. Look for "Return to Tangibles" assets to diversify against inflation and geopolitical risk, potentially via ETFs like LENS (Ticker: LEN-S).
10. **Sector Selection:** Seek sectors with capacity constraints and rising pricing (e.g., DRAM/NAND Flash) and Japanese equities/banks that have cheap deposits available for reinvestment into higher yields. Avoid US homebuilders due to margin compression from interest rates and labor costs.
11. **Equity Strategy:** Identify companies not facing existential competitive threats that can sustain high capital spending. While Apple is a buyback leader, its tech stagnation suggests it may no longer be the best growth play; consider peers reducing capex or repurposing cash for buybacks (e.g., Oracle if signals hold).

12. **Macro Preparation:** Expect rising yields and higher inflation due to wage-driven pressures. Prepare for bond market volatility by accessing short-end futures where appropriate, acknowledging that long-end bonds may remain choppy.
13. **Political Risk Management:** Do not count on government policy solving the housing or inflation crisis; fiscal deficits are structurally entrenched. Be prepared for further capital scarcity and a return to "age of investing/defense spending" rather than the previous era of peace and discipline.

Full Transcript

this sort of theme of governments spending more inflation being stronger, wages going up. I think that's just reinforced. I think some of the talk is about the Democrats sort of stopping data center construction. The problem I've got there is you've always got this sort of cudgel of China is getting ahead of America. When you have policies to push up wages, the inflation increase is really not cyclical anymore. It's a sort of systemic. So, like, there's a sweet spot for yields, which I think we've been in, and now I think we're getting to that sort of pain spot. This episode is brought to you by Sarmaya Partners, who manages a Return to Tangibles ETF Lens, ticker L-E-N-S. The Sarmaya thematic ETF built for a Return to Tangibles. Learn more at SarmayaETF.com and see the show notes for disclosures. Let's get into it.

Welcome to Other People's Money. I am joined today by Russell Clark, founder of Brumbi Capital, a London-based hedge fund. He also writes a sub-stack at russell-clark.com. Russell, thank you so much for joining me today. Yeah, thanks for having me, Max. It is an eventful day. We are recording this the day after midterms in the US. It was a blue wave, a blue nami, whatever you want to call it. I'd love to get your initial reaction. It's hard to see it as a sort of resounding endorsement of democratic policy or democrat policies because it won't really any it's a more a rejection I think of the way President Trump has gone around gone about with his second administration You know, I think you know the the average person on the street You know wants to see more money is you know what I think is a universal theme and we saw this room in Brazil as well like when Lula was behind in the first round. He came out and basically showered people with money. He was able to turn around a significant deficit in the final round or the runoff election. I think with the Trump administration what we're seeing is I think the sort of cracking down on immigration was largely successful. So that really took away like a big policy support for his program because the scene is successful. So it's sort of baked into the system now and I think that when people looked at like high oil prices I think cutting like food benefits as well and the some of the doge programs that were pushed through I think really you know I think it was really hurt a lot of his base

you know and you can see that with some of the big swings like in farming districts as well you know I think it's very common in politics that if you're successful at some point you think you can you know get away with a lot of things just on the back of your personality, but ultimately, you know, people want more money in their pocket. That's why they normally vote for change, is they're dissatisfied with the status quo. I think you fail to address that. So what I find very interesting about the result, and it's something I've been talking about for a while, is that, you know, I think at some point, markets will have to think about what does, you know, a democratic president with the house look like and what do those policies look like? And you know, what does the next president look like? You know, and that's where I think it gets interesting. You know, it definitely is the nomination process will kick off probably halfway through next year. And what I find intriguing if US politics runs to form is to start off with, we'll probably have quite extreme left policies.

being sort of bandied around and You know you have to wonder does the bomb market take it in in its stride? Or does the mob market start to react to these sort of policies? you know for me the big sort of you know takeaway from this is you know the Well, I've been calling for pro-labor policies or inflation policies should probably get another leg up because I don't see Donald Trump approving any tax increases your V2 lows as far as I can tell but so the Where they will be able to meet in the next couple of years will be on spending increases So I can't see the budget deficit coming down. So everything sort of points to me that the Yes, you're right about the initial reaction is equities down and back up again. That's probably correct with a view that fiscal spending is going to increase The market where I think that looks more interesting will be bond markets. And when or if they sort of start taking a longer term view that fiscal consolidation is never going to happen, which is what I think is the most the correct read I think from what's happened overnight. So I'd be surprised if markets moved one way or another in the short term. I just think, you know, the this sort of theme of governments spending more inflation being stronger, wages going up, I think that's just reinforced would be my read of it. I would be surprised to see, I think similar talk is about the Democrats sort of stopping data center construction. They may do something there. I feel like the problem they've got there is you've always got this sort of cudgel of China's getting ahead of

America that you can always play against data center restrictions. Or alternatively, the big hyperscalers start building more data centers elsewhere in Europe or Japan, something like that. So the politics of the data center story, which maybe gets priced in in the short term, feels also like a false trade in my view.

As far as I can tell, the hyperscares need more data centers. They keep saying that they're fully booked out for this year and next year. So the demand story is still there. So something we'll have to give. And the politics, I think, would point towards some restrictions, but the story keeps going. That was maybe the one policy that did. sort of go through almost all of the democratic candidates. As you said, there wasn't a lot of of policy prescription coming out of the campaigns. It was just very much things are not good. We need to make a change. That was essentially the argument made by just about every candidate aside from data centers. Do you think if politicians do follow through, it sounds like that's not your base case, but if they do follow through and we cut data center spending significantly, is that going to create a slowdown in the economy and perhaps a head fake on inflation. Yeah, it could do. Although, you know, from what you can see is, you know, the demand for AI both from like a comparison point of view and from the consumer, and it's so strong that if you don't get the building, you're going to get more inflation, if that makes sense, as the capacity constraints will push through more price increases for whether, you know, the Because basically price is the only way to ration demand But you know, I think if you know if anything you could even play into Elon Musk's hands, so he argues that you can't build enough Dallas centers on Earth So you have to go and build them in space, which is his big argument for for SpaceX So, you know plays into his hands to a certain degree The real question will be like, you know, how how much retribution will the Democrats be looking for must be so blatantly tied to the Republican party in the first couple of years. And for his efforts with Doge, that's the real mystery question there. But like I said, the data center is a tricky one, where from some of the people I've talked to, they sort of knew that there were some risks with the Democrats coming into power. So they've actually sort of almost over permitted.

so that they could then say, okay, we had permission for this data center, we'll throw this one away so that they can throw political bones to the Democrats. It's a tricky one. The demand side definitely seems to be there and the logic of AI which requires exponential increases in compute doesn't really change it. My feeling is what I think is most likely to happen. is what I can see in Europe and in Japan to the degree that they're moving to much more pro-growth policies having stagnated for so long. And so they'll probably start welcoming these dollar centers if they can get the cost structures right from. So that would, if that was the case, sort of feed into a more weak dollar type trade, which we've seen today as well. One of the things that You wrote recently that was interesting to me was you were examining the AI trade the build out trade and saying is this an attractive short certainly has looked like it over the past few months but. You took a look at it and you said I'm not sure whether there actually is a great short opportunity here and I think about you as somebody who has an eye for short selling in this particular brand of short selling and so.

When you said, I don't think the risk reward is there on the short side for AI, it was something I took note of. Why don't you see a big opportunity for short selling on the AI trade? So normally for the good short opportunities I've seen in my career, normally what happens is that for some reason an industry overbuilds. And industries don't overbuild because everyone's an idiot. which is sort of, you know, everyone's a fraud, which is where I think most short selling cases start with. You know, assuming someone running like a multi multi billion dollar company, or in the case of the hyperscalers multi trillion dollar company, that these guys are like morons is to say like Jeff Bezos doesn't know about it and tech demand or Mark Zuckerberg doesn't know what he's doing or Elon Musk doesn't know what he's doing.

This is a terrible place to start your sort of short thesis in my view. Now, what you do get in markets is occasionally you get overbuilt for very logical reasons. So the best, you know, some of the two best shorts I've had in my career, one was it sort of China related. So the Chinese industry, what normally happens with Chinese industry, they have a huge build out phase. And then the one with the most market share, the government will then come in at some point and say, you're the biggest, you're the one who gets to consolidate this industry and normalize it. And so you have to be the

biggest if you want to be the one that survives. So this creates this terrible incentive structure where they massively overbuild and then there's a collapse. But it's very logical from a Chinese perspective is that I have to be number one if I'm going to be a survivor. And once you understand that, it's relatively easy to understand.

understand that cycle. I have to say, Russell, that sounds exactly like where we are now. You could argue that the problem I've got with it is to a friend of mine, a very clever friend of mine said, I should actually read the situational awareness essay, which he wrote a couple of years ago and then launched the hedge fund on the back of it. And it was fascinating. He's basically saying compute needs to go up exponentially to get a linear increase in the ability of AI. And I thought about that. So financially, it's crazy because it's basically saying you need to spend hundreds of billions more for incremental increase in the compute power. And so that's where a lot of the short cases come from is saying this is crazy use of capital. It's all going to end in a deflationary bust. The problem is, is that when I look at AI, for companies like Google and Microsoft, it's an existential threat. So they need to invest.

Google in particular, I always feel like is very exposed because I don't even search on Google anymore. I just search everything on chat GBT. We saw that in earnings. We saw in earnings. And when I watch YouTube, they're just so jam-packed full of ads. You can see that the advertising power of their brand is weakening. But they've still got a lot of cash, so they've got to invest. And I sort of was of the view that they were all investing basically to try and bankrupt. I have an open AI or I'm frantic. So earlier this year, I thought, oh, there is a chance here maybe, you know, that something breaks, right? You could see, I could see some weakness there. And then all of a sudden, Elon Musk comes along with SpaceX, raises a hundred billion to invest, to create his own language, language model. And he's done it all through equity, basically.

And I was like, okay, so the credit markets are sort of saying we don't want to lend any more money, but the equity markets are okay with this. And so now your argument, the argument of the AI boom is over. You have to be sort of confirmed by equity markets sort of saying, we don't want to fund

this anymore. So if SpaceX collapsed, for example, that would be a good sign. But you need, I don't see that in the equity markets as of yet. I don't see these sort of people saying they don't want to fund it. They're not happy about it, but they don't want to fund it. I don't see it. And the flip side of that as well, the other big problem I've got with it is it's very easy for me to see the AI trade as like a strategic trade, sort of like a Cold War defense military spending type thing. And so, you know, the risk you run is that the government does come in and start offering support. So it's the flip side of the data centers, the Democrats are going to toast the data centers. There's a very real case where the governments will come in and try and support the spending because they want to stay ahead of China, if that makes sense. So it could be a short. It's just that the risk award to me is very finely balanced where you think it's a short and then suddenly And the IPO market says, yes, we'll fund another 2,300 billion of investing. And then you are like, OK, this continues. So yeah, I find the risk ward very tricky. And I've tried at various times to fall about showing the AI trade at various times. And what seems to always happen is the demand is still there. And that's been the case for a few years now.

And when you read the situational awareness, you sort of went, okay, this is the model that these guys are using for investing. And what's been very interesting for me is like, even with like Oracle, which is seeing a share price down 50%, they haven't really cut, like they've just started to reduce the capex, but it's not like they backed away from it. And the numbers they're applying are very strong. It's just that they're still doing capex. So I look at all of that and I was just like, you know, risk ward looks... Not great. Yeah, I mean Oracle might be pulling back on capex a little bit But they just tapped both the equity and debt markets for 10 billion a piece In the last two days obviously that hasn't they haven't fully raised the money But they've announced their plans to do so so I would say even if they in their you know last earnings have signaled some sort of cutback on capex They're certainly still raising money. I guess the operating cash flow was actually quite up quite a lot so That's always been the problem with the AI thing is you invest heavily and then the money comes later. And what we saw of both Amphropic and OpenAI is that money is there. The big short case for that is that money is not real. It's just capital from elsewhere being moved

around the system. So when the capital flows stops, the demand stops. That's, you know, which is a sort of dot com bubble type argument.

You know, but you know will the investing stop normally what causes to fit spending a stop is prices falling So like GPU prices falling or rental prices falling or cloud prices falling now look as far everywhere I look it's the opposite it's going up So, you know, it's like I said, it's a tough short. There's no smoking gun for me It's all circumstantial evidence, which is given the risks in short selling. It's not enough for me But I'm still looking for a smoking gun. And if I see it, I'll call you up and ask you to get me back on here so I can correct everything I've said. Hey everyone, hope you're finding value in my questions. I've got a quick question for you. How much of your portfolio actually depends on the physical world? If you own the S&P 500, more than a third is tech. Energy, materials and precious metals, about 5%.

Sarmaya Partners believes the next cycle belongs to tangibles, the energy and metal sectors that have been under-invested and under-loved for a decade. They call it a return to tangibles and lens, ticker LENS, the Sarmaya ETF, is an actively managed ETF to express this view. And active is the point. The team follows the themes across sectors, market caps and borders as the cycle evolves, adding where they see opportunity and trimming themes that look overextended. Miners, energy, precious metals, critical metals, all in one actively managed ticker, L-E-N-S. When inflation runs, stocks and bonds can fall together. Lens adds real asset exposure with the potential to diversify both the stock side and the bond side against inflation and geopolitical risk. Learn more about the Lens ETF, their full data and comparison, including performance at SermayaETF.com. Investing involves risk, including the possible loss of principal.

The fund's investment objectives, risks, charges, and expenses must be considered carefully before investing. This and other important information is contained in the prospectus, which can be obtained at SarmayaETF.com. Please read the prospectus carefully before investing. I guess I would ask about Anthropic and also the existing public companies, right? There is so much equity and debt supply coming. I'd say with the benefit of hindsight, it's pretty clear that there was at least some crowding out of the Treasury

market from the AI issuance. It's something we heard about and depending upon which bond investor you ask, they would say that's impossible. It's the biggest market in the world. But I think now we can see that there was definitely some impact there. But historically, the market just cannot handle this much equity issuance. I recently talked to the head of capital allocation at GMO who did a study on it and they said that it's, you know, each 1% of market cap that's issued is good for about a 4% underperformance from average. And that if SpaceX, Anthropic and open AI in a 12 month period come out at the valuations that they're saying it would be somewhere between like four and 6% of market cap. And then you throw in Google and Oracle and Meta and all these other companies issuing even though it's not an initial public offering, that's just quite a lot of equity supply. So your argument is that for now it appears that there is insatiable demand for all of this investment and this supply is not going to overwhelm the market beyond the question about demand for compute. What about the demand for the financial assets?

It's a very intriguing question because bond yields have been going up and I think they will still go up. And my argument has been that's mainly political driven by big fiscal deficits and focus on work on wages. But you could make the argument that interest rates are going up because we suddenly have this huge demand for capital that hasn't existed before. So a lot of the last, until a few years ago, 10 years prior to that, equity markets are really about returning capital to investors in big size, so the share buybacks, these sort of things. And personally, I think the reason Oracle's share price has been so weak is they went from share buybacks to issuing shares, which the market didn't like. It's still priced as a very attractive company, just not as attractive. And so you could argue that we've moved to a different world. We're not in a world that's free of peace or conflict anymore.

The US is in a sort of Cold War conflict with China. Russia is in an actual war with Ukraine. And typically in war environments, it's very difficult for governments to curtail spending. And unemployment tends to be very low, because there's lots of jobs for people to do. And that's sort of the environment we're in. It's very different to what we were in 20, 25 years ago, an age of peace and fiscal discipline. We're now back in the sort of age of investing, defense spending going up, capital investing more and more

money. And so capital and deposits are becoming more scarce. And I think for when I was a kid, the first sort of money I had, you could put on a sort of what called long term deposit, basically a deposit you can judge for 12 months to two years. You get seven, eight percent.

And I think we're going back to that type of environment where capital is scarce for whatever reason. Is it politics? Is it AI? Wall? Whatever you want. But they all seem to be pointing the same way. It's hard to believe the AI market is squeezing out the Treasury market. I would just say that the US fiscal outlook does imply a much higher interest rate than what is currently being charged would be what? I would say to that. Okay. So you think it's far more likely that the Treasury market is squeezing out the AI debt markets? Yeah. I think the AI debt markets are definitely squeezed out. It's basically taking liquidity out of the other corporate markets because they're offering, if you take the soft bank offering, it was like 7%, 8% for three year money in Europe and in Japan, which is tremendously high.

These sort of offerings I think are squeezing the corporate debt market. I think the sovereign markets are really just reflecting the outlook for higher inflation and still rising wages in my view. This competition for capital, this world that you're talking about, that sounds potentially bad for these private alts managers, the private credit managers, private equity. As somebody who's looking at this environment, do you think that that's a place to find short exposure. Where are the the shorts that do jump off the page to you? That looks like a very interesting area. So part of the thesis of this sort of rising cost of capital is that, you know, so, you know, if you go back in the idea of like big foreign reserves, right, foreign reserves being held in treasuries or fixed income, it's a very relatively very novel concept.

I only really started in the 80s and that's sort of Kissinger and the Petra dollar if you've ever started that. So basically when the dollar left the gold standard you know yields blew up and then so Kissinger convinced OPEC nations to buy treasuries instead of taking gold and then Japan followed suit they bought treasuries instead of gold and so and then China did the same, Korea you know a lot of countries did the same. So we ended up having these policies which were sort of The reason the Japanese bought treasuries and the Chinese bought treasuries was they're trying to stop their exchange

rate from appreciating. So they didn't want wages to go up. They wanted to stay competitive. That's sort of a free trade world. And so these countries generated huge pools of capital. And these pools of capital, they went to treasuries. I think a lot of them went into private equity, some of the big private equity funds, some of the big sovereign wealth funds. Generally, these policies that generated huge pools of capital, which benefited businesses that could tap into them. And so what we're starting to see is these pools of at least treasury holdings are declining. They're declining in China. They're declined a bit in Japan. Basically no one wants to hold treasuries anymore. And so the pool of capital available for those asset managers is shrinking. And the reason they're shrinking is governments are doing the opposite. They're trying to push wages up and keep wages relatively high in real terms.

And that requires governments to spend, that requires governments to push up interest rates to protect the currency. And so, yeah, what I sort of see is this pool of available capital is getting smaller and smaller. And so you're going to have to see corporates look for other funding sources. And that's certainly something we've seen with the AI companies who have huge demands for capital at the moment. They're tapping all sorts of different financial areas to try and get that capital. And that's all the world I see is that actually growth is going to be good. It's just funding is going to be a problem. You know, gain the money is going to be a problem. And how that will affect equity markets, I think remains to be seen. So are there any areas that you think are particularly exposed to needing access to funding markets that you have in the, whether it's stay away from or you're actually looking at them as shorts?

So I think the alternative managers are problematic. They have been already weak. So maybe it's a bit late on that one. But one area I think that looks interesting is US home builders. Well, talk about looking weak. They've looked even weak. They've been the weakest part of the market. Yeah. Well, they've not really cracked. They just sort of held up there. But their margins are still very high. If long end of the bond market does sell off that. that crimp demand to a degree. I don't think it's going to be like a GFC type issue with our home builders. But what I can see is they come out and say, do you know how we used to make like a 15% margin on our homes? Well,

now because of labor costs, because interest rates have gone up, because energy prices have gone up. Actually, we only really can make five to seven percent margins. That is their profit margins come in a long way. And that's how I can see those stocks.

derate quite substantially. For example, that's sort of the way I look at it. You know, and there have been, you know, I still quite like the restaurants. So the restaurants, the franchise restaurants have this sort of way of getting capital, which they get from their franchisees. Basically, they make them buy the restaurants and then they take a cut of sales. But these franchisees are really feeling the squeeze of higher energy and higher interest rates. And so what we saw with McDonald's last quarter is they actually had to pay money back to the franchisees. So they had money to renovate the stores. And so the cash flow is starting to reverse. And we've seen a lot of restaurant chains be very weak. So it still feels to me like we haven't had a full reckoning of all the debt that's been taken out.

to be used in different assets over the last few years. I think that's still ongoing. Obviously, there is such a focus on affordability from the Democrats. That's really what they won on. Do you think that there is a policy solution in any way that will support it? The problem you'd have with that is that the long end of the bond market probably wouldn't like a big household grant. given where the fiscal deficit is. So, you know, the spend would probably be counteractive by a sell-off in the long end of the bond market. You know, I think, you know, ultimately, you know, when you look back at when house prices were very affordable, in the UK anyway, the government built loads of them. They went out and had a huge sort of home-building spree, which was sort of government financed. In the States, I don't know. It feels like, like I said, it doesn't really pay to build them. But then, as far as I can tell, young people can't afford them as much as they used to. So you still seem to be stuck between a rock and a hard place. It'll be interesting to see what the Democrats can actually do. Nothing really, for me, comes to mind. But other than throwing more money at people, it's like a big one-off.

distribution to working-class people or something like that, which I think they're thinking about anyway. But I think there's no... For me, honestly, the

only thing I could see them do perhaps is convincing the Fed to begin a QE program to cap long end of the bond market. That would be pretty bad for the US dollar. So we create some inflationary pressures, I think at least. So it's like I don't see any I don't see any easy way out from everything is a trade off when it comes to a housing market. We haven't spent much time talking about the Fed. The last meeting was a pause. We're expecting rates to go higher. The inflation data has not been great. It's looking like we are still in the midst of a hiking cycle. Look, if we get a slowdown in data center spending.

the bond market has reacted by pricing in fewer hikes for whatever reason. They view that this data center spending is inflationary. Do you think that we are gonna get some sort of head fake from all of these factors that people are attributing inflation to and that we might actually get out of this hiking cycle sooner? I must say, you know, with where energy prices are today, and if you still like the jobs, the jolt's number on employment in the US, which is very, very good number. You know, I think I'm like, I think I'm like, I'm pretty like, pretty much the same as the average man on the street. I don't see prices falling. You know, prices went up a lot in the last few years. And, you know, I was always surprised when the Fed stuck.

you know, cutting rates last year because I was like, I haven't seen the price decreases. I'm not seeing things, something getting cheaper here. You know, and you know, what I think happens is whenever we have these sort of increase in energy prices, prices get pushed up to preserve margins and then nothing gets given back when they come back those energy prices. And if anything, you know, the wages also go up, which very hard to cut. That's the thing about wages. You know, when you have policies to push up wages, the inflation increase is really not cyclical anymore. It's a sort of systemic increase and that sort of feeds into less than less capital available for investing. So cost of capital goes up. I mean, that's one of the other sort of interesting things is that the big tech companies were huge owners of spare cash. But now all of that's going into, you know, AI spend and infrastructure spend. So cash piles everywhere are falling. And you know, what I find really fascinating is that even when the tech companies are sort of charged 89% corporate bonds, they take it, which I find really intriguing.

It's not like, you know, it's not, they're not scared of high interest rates. And I guess that's just because the growth they see is so phenomenally good.

Yeah. Well, there's one exception to that. That's Apple, right? Of the big tech companies that reported, they were the ones that have probably done the least amount of CapEx. They announced that they're returning something like 25 billion, 28 billion, I forget the exact number, to shareholders via buybacks. It's it is quite different and it brings me somewhat to this idea of what we're all kind of looking for like the big sector to short Or to go along whatever it may be and is it is it more of a spread market right where you're not just saying I want to be short all of big tech but if you Have one company that doesn't really seem to need to be spending all of this All of this capex to maintain their business Perhaps not facing an existential threat and you have all of these other people competing with each other as the cost of capital rises. Is it just I want to be along the people who are opting out of that fight? Who aren't obviously existentially exposed and and is that how you're approaching this market? Well, I mean that has been the sort of interesting aspect to the muggy. Yeah, share buybacks have been the the big winner and Apple has been a big winner from that, you know, and you know, it's that has probably been the big change since 2016 is that share buybacks being such a major driver for this market. And when you, you know, it's sort of been the biggest buyers of the market because I guess that's where all the money is these days in corporates. You know, and how long can they continue? It's a good question. I mean, share buybacks for Apple at sort of these valuations with these sort of interest rates seem normally value destructive. It's a bit trickier because once you price and tax incentives and other things, maybe it works. But the share buyback is what the markets really love. And so that seems to be the way to do it. That's why I say Oracle looks interesting because if they're saying that their CapEx is picked out and they're going to have cash to buybacks, that company could rapidly re-rate higher. So why I think it's not a great short here. But yeah, buybacks being the key. I thought higher interest rates and higher cost of capital would probably maybe put an end to the buyback story. I sort of think of buybacks as a bit like private equity in that you sort of take the balance sheet and run it through the P&L, which has not worked for private equity in last couple of years, but still seems to be working in the big listed equity companies. Maybe because they don't

have any debt. Maybe that's a big problem with private equity is they take on debt to do that. So yeah, the only issue you have to ask yourselves, and this has always been, for me, the issue of the buyback is that, especially in technology space, is technology changing so quickly that the buyback in tech doesn't make any sense. And with Apple, what I find interesting about Apple is that it's been a long time since Apple came out with a new era defining technology. You know, since jobs died, you know, it's been a phenomenal investment, but actually from a tech perspective, it's been a real sort of marginal changes of best and then pushing up a price in its products as much as possible. So it's a value creating for shareholders.

but it hasn't actually developed anything new for a while. And the question is, in the tech space, can that continue? Maybe, I guess so. It's a very interesting question. But you could see, I sort of wonder if we're in the AI agent era that we're heading to, does Apple maintain its cachet? So you have this very clear view on... rates rising, inflation staying high. How much are you expressing that via sort of like direct sort of mechanisms like rates, currencies, et cetera, versus trying to find these knock on effect equity marketplace? So in the rising yield environment, you know, it sort of feels like it should be negative for equity markets. So I think a good example is France, probably the worst market this year. Its yields have gone up.

you know, it's been under bomb pressure. That's really what I would expect in the rising, you know, so like there's a sweet spot for yields, which I think we've been in. And now I think we're getting to that sort of pain spot where markers go, okay, you know, something's got to change and they start pricing change. So I think we're at that point now, which I expected it to come earlier. So, you know, let's sort of think about, well, okay, if capital is getting scarce, You know kind of look for people who benefit from owning or having capital available So I still quite like Japanese banks. They have a large deposit franchise It's still very cheap and it's you know the opportunity to sort of reinvest those deposits into higher JGB yields or even higher Treasury yields if they choose is increasing and these the banks have been terrible investments in Japan for 30 years until recently so I still quite like that And I sort of look around for, I think this year has been intriguing where we've, Nvidia sort of chips have been expensive for ages. And what we've seen as TSMC has been reporting increasing semiconductor prices

for years. And that's fed through into semiconductor equipment. We suddenly saw that sort of pass into DRAM and NAN flash. So as we sort of got to the limits of the production capacity of those areas.

we suddenly saw price increases. So I look around for areas where we could see that type of change where we suddenly go to full capacity and pricing moves higher. And there are some areas that sort of look interesting there. So you're sort of looking for trades at work in this environment of growth, non-stop growth. It is tricky though. I would sort of say like about a year ago, I quite liked the idea of European defense. But when I looked at it, actually the CapEx has gone into that area. So the supply demand seemed to be matched up. And so the outlook for that seemed less attractive. And you see that a lot. You still see huge moves. We've seen it with the DRAM, then companies this year, huge moves up as pricing improved. And then Marcus only goes, OK, well now are we going to get the capacity increase? Is pricing going to disappear?

And so the equities disassociate from the rising prices. So I think the long book is, I find the long story surprisingly difficult. I think the only thing that seems to be working is buybacks. And then again, I question where they make sense, but buybacks in the US seem to be the one trade that still holds up. But I look across a range of industries, it has been interesting how they suddenly sort of sometimes just worn on cost pressures. And then Marcus says, okay, you're not going to have the cash to buy back shares or whatever. So I feel like even though I said shooting is difficult, the short side looks more interesting. I'm not sure the AI is the right one to go for. There seems to be weakness out there in many places. Not being perfectly correlated to the exact view is a risk mitigation.

aspect here. It's a portfolio construction idea that that you really can't bet your entire portfolio exactly on one thing but if it is the guiding force you want to find things that are kind of exposed but are not necessarily correlated to each other. And bonds are tricky because it depends on which you know this year the short end of the bond market is a place to have been short in particular. So but you would need to access that in a in a meaningful way, we probably need access to futures and that sort of thing. The longer the bond market, whether ETFs available has been a bit more

choppy, something like it was weak and then it was strong, so it's been a more difficult trade. So, you know, again, you know, even though short bonds make sense, within that sort of huge market, there's a lot of volatility. So it's no...

My my sort of feelings is no easy trades here One market I do like for whatever it's worth is Japan Clearly from the point of view that I think in most markets increasing property prices is seen as sort of as a political negative that makes sense The young voters who I think are really in charge so the boomers I think are gone as a voting powerhouse as it's moved down to Millennials and younger They would much prefer cheaper housing prices or higher wages. They can buy nice houses. And so there's this pressure to sort of keep house price under control. That doesn't exist in Japan as far as I can tell. I think they are AOK with house prices going up. Which makes it to me a more attractive market if that makes sense purely just because they've come out such a long stagnation.

they're not so worried about the inflation. That makes sense. So that's a market I find more interesting. Obviously, Japan started to deal with inflation for the first time in a very, very long time. And it did feel like there was some pushback from voters that inflation was starting to become a problem. The weak currency, it comes across in some of the anti-tourist rhetoric. Do you think that That was just a reaction to dealing with inflation for the first time. I'm going to tell you the Japan story from my new interpretation, having looked at it again. So the whole Japan stagflation era, which sort of began in the 90s, was the byproduct of the Americans not being happy with Japan doing so well in the 80s. So Japan developed in the modern semiconductor industry, so Nan Flash, DRAM, all of this in Japan. They dominated in the 80s and they had the best tech industry.

As we well all should be aware well aware of the Americans like to have the biggest and best tech industry And you know, they don't like other people owning that market for defense reasons and other reasons And so what happened in the 80s is the Americans came to the Japanese and said look We need you to stop competing in semiconductors which they agreed to there's an agreement from 1986 about basically Japan saying we won't We won't undercut US semiconductor producers anymore And I think the

other part of that was that they were sort of willing to limit Japanese market share. So Japanese market share was capped. They weren't going to grow it anymore. And so what then happened was the best companies in Japan, this is sort of going back to looking at Apple, the best companies in Japan stopped investing into Japan. They started investing all their tech and all their capital into Korea, Taiwan, China.

So if you go from having all your best companies investing too heavily to not investing into your country at all what you end up with with stagflation and I think what's happened is since China has become like the enemy investing in Japan has become acceptable again and in fact Geopolitically Japan looks like a great place to build new fabs You know and to build out a new semiconductor industry. So what I see in Japan is Yes, the exchange year. Yeah, they had stagnation but it was politically driven and now they have inflation and Growth I think which is also politically driven And so I think growth is going to be good And that's just that's a Japan story for me. I think US policies is what drove deflation in Japan as for tourists I think it is extremely tough for the Japanese to see Chinese tourists coming to Japan and saying how cheap it is and buying those Japanese stuff that's be like the Mexicans coming to LA and saying wow it's so cheap here that's uh you know you know that would I think if that's the sort of mindset that would it would engender so speak Japanese I get Japanese TikToks and there's this guy just saying or he's going to LA his LA airport the kid went to you know Joe's juice to get like a juice a water a sandwich and something else. And it was like, and it cost him 70 bucks. He's like, what? How's that? I mean, that's probably LA airport prices. But, you know, you can see like, you get 20 bucks sandwiches in the States sometimes and, you know, 10 juice, you know, and you go, this makes no sense. You know, but that is actually, you know, what the whole policy of Trump's policies of tariffs and industrial policy is meant to do is meant to jack up prices in the States and make the US economy bigger. And that's why I struggle to see the Democrats unwinding those policies absent some sort of debt crisis. And then I think we move back to free market policies again. So what are the policies that you think are going to carry over? Certainly Trump 1.0 was all about sort of the first trade war with China wasn't the tariff era one. Interestingly, a lot of the stuff that he put into place, Biden chose to continue. And then he picked it up and took took things from from where he had left off with Trump 2.0.

What are the sorts of things that you think are going to stay in place both through this last two years of Trump and then whoever comes next, whether it's a Democrat or a Republican? I think if, you know, if voters could have chosen what they have to vote for, so the midterms are the midterms but you know if voters could have chosen what was going to be on the sort of voting form would be like ending the Iran war would probably have you know won in like an 80-90% landslide it's a war I think you know I understand the logic of staying in it but the logic of continuing it has you know made little sense to me once they show that Iran wasn't going to be like a Venezuela where they could come in easily when change the political regime started to become like a dogfight. It seemed like a crazy war to keep doubling down on, especially as oil prices went up, diesel prices went up, and it's very hard to understand. And I think that's the thing is, because it's so hard to understand, no one can explain why it's happening. And I think that was what probably cost a lot of votes for the Trump administration, I would say. Other policies, you know, I think, like you said, coming like food stamps, you know, getting rid of Obamacare, which has been extremely popular. He didn't do it in his first term, even though he sort of, you know, he said he was threatened to. It was weird. In the first term, he seemed far more politically astute. Perhaps he was had better, better advisors. It's certainly, it's certainly not hard to get the impression that the, the cabinet in Trump 0.2 is very low powered.

You know and not very good at their jobs in general You know so there's the I would think you know when the Democrats probably would They won't disagree with the immigration policies. They might try and soften some of the implementation I don't see tariffs really changing that much You know, I don't see industrial policy changing that much. I don't see pro-union policies changing that much I don't see the fiscal deficit change that much. Like I said, I think it's just really like some of the more extreme policies that really took money from people's pockets that were the problem. Well, Trump certainly could be called vindictive, right? The war is one of the few things that it's not a war that was declared by Congress. It's an executive action. It is one of the things that he can essentially unilaterally decide.

whether he wants it to continue or not. He's got two years. I mean, do you think this is a sort of I'm going to take my ball and go home and I don't

really care? But even though people voted to, as you said, as a rebuke of the war, it does seem like he could just say, well, I don't really care. I want to defeat Iran. And, you know, like, like Nixon going to China 50 years later, you'll love me. You know Nixon going to China was a genius move to you know begin the end of the US the Soviet Union because he split that block off Even like I said, I I originally I was very supportive of the the Iran war and so far as like, you know, they are You know, they are a bad regime and I had assumed given the sort of 40 50 year up years Israel had you know to sort of think about this war, which they've been thinking about They finally have the US layer. I was expecting the execution to be far better than it has been. The execution has been poor. And it's just been poor, really. And because it's hard to understand, it's not worked out. No one really cares about the Venezuela thing. It was over in a day. But this one's been very poor. And it really has shown the US to be weak, which is always a bad look.

I think maybe Trump thought that if you go to war, typically your ratings get a boost. Normally that helps if people declare war on you rather than you going to war. But I think he just made a misjudgment. But like I said, the bigger issue more is what happens when Trump steps down and almost certainly gets replaced by a Democratic president. And then the Democrats control all three branches. of the executive, then you're looking at some real changes. And I think the likelihood that they're very progressive policies cannot be dismissed at this point. And if we do get a pullback in the war, obviously oil is going to react. People are going to price that into inflation and probably into the rate-hiking cycle.

Do you think that's the wrong move to put too much on the oil price day-to-day in thinking about inflation right now with oil is it's a very tricky one because it It does look like a sort of for me. It looks like a dead asset to a degree So it's intriguing isn't you know the benefit if there is a benefit around war is suddenly us shall production is going up again So that's I think you know you start to see increase in rigs production looks to be going up And if you look at long dated natural gas futures in the States, they're actually declining. So the market is seeing the production coming on and saying, actually, we're going to have an oversupply again in a few years time. So the US shale industry is gearing up. And when we look at oil

consumption in China, it's already looking like road consumption, driving consumption of oil. It's already topped out in China at a much, much lower level than in Europe or the US. And what we can see now is that sort of road demand for oil is topping out in all those places and starting to decline. So you got this sort of like, you know, when I look at oil, I sort of feel like we're sort of looking at, you know, like a dead commodity in a way. You know, it doesn't mean the price can't go up, but it's just like the the the link between energy consumption and GDP is starting to break. And so It's why there's no new refineries built in the States because when you do the sort of long term, you know, return on equity profile of it, the end value looks very low and it's not that far away. So it's difficult to get a sign off on it because the demand isn't there. Being the UK, you know, is all we see is petrol stations closing down. They're never, never opening. You do get sort of electricity charging places opening now and they're all over the place. And that's sort of where we're going.

So I feel like oil is like a distraction. In short-term, it does move markets, but the bigger driver inflation to me just seems to be wages. And I think that's going up. Well, I think for me, the cycle is structurally we have inflation because wages are going up. When oil price goes up, the Fed says we're going to raise rates. When oil price goes down, the Fed says we're going to cut rates, even though actually the structural driver inflation is not oil. its wages and so they sort of as soon as they in my view as soon as they start cutting rates or think about cutting rates the long end of the bond market actually sells off because they're saying oh actually you're not dealing with the real driver of inflation here which is you know very tight employment markets and rising wages.

All right, Russell, well, we will leave it right there. People can follow along with your views. You are writing very frequently at your substack russell-clark.com as well. You're on X at Rampaging Russ. Thank you so much for doing this. We'll get it out quickly. Thank you. Nice talking to you, Max. I hope you enjoyed that. I want to say a big thank you to today's sponsor, LensTicker LENS, the Sarmaya Thematic ETF. which gives real asset exposure and the potential to diversify a 6040 portfolio. Read the prospectus at SarmayaETF.com. Disclosures in the show notes. Thanks for watching.